

GLOBALISATION

Globalization results from the removal of barriers between national economies to encourage the flow of goods, services, capital, and labour. While the lowering or removal of tariffs and quotas that restrict free and open trade among nations has helped globalize the world economy.

Forms of Globalization

(a) Foreign trade policy: India has signed a number of agreements in order to expand Indian trade worldwide. Some of the agreement includes TRIPS (Trade Related Intellectual Property Rights), GATS (General Agreement on Trade in Service).

(b) Export promotion: Globalisation promotes export by reducing quotes and tariffs, by eliminating trade restrictions and by simplifying trade procedures.

(c) Freedom to repatriate: Repatriate means, to send or bring money back to one's own country. Since globalisation has integrated many countries, repatriation has become very easy.

(d) Reduction in tariffs: Custom duties and tariffs imposed on imports and exports are reduced gradually to make Indian economy attractive to the global investors.

(e) Encouraging open competition: Globalisation brings an end to the difference between domestic and international markets. Domestic companies start their operations in the international level and therefore there is an open competition.

20.09 Advantages and Disadvantages of Globalization

Advantages

(a) Increase in foreign collaboration: Globalisation increases foreign collaboration through various modes such as joint venture, merger, franchise, turn-key projects, etc.

(b) Expansion of market: The size and operation of business moves from local to national and from national to international.

(c) Technological development: Technological advancement paves way for a company to enter foreign market. Globalisation of technology is done by Royalty or purchase of technology or by technology collaborations.

(d) Reduction in brain drain: Brain drain is a situation in which a country loses its most educated and talented workers to other countries through migration. Globalisation paves way for employment opportunities in the home country and utilise the man-power efficiently.

Disadvantages

(a) Loss of domestic industries: Globalisation causes decline in the demand of domestic products which in turn vanishes the domestic business.

(b) Increase in inequalities: Globalisation widens the gap between rich and poor. Also developed countries exploit the resources of developing countries.

(c) Dominance of foreign institutions: Economic power shifts from independent industries to international organisations which is a threat to national sovereignty.

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